

A Debtor Nation

Credit card mentality is deeply embedded in our American culture. Information gathered by the U.S. Census Bureau claims that the average American has at least nine credit cards. Consumer debt now exceeds the national debt. The American people owe approximately \$6.7 trillion in household debt. Of the more than one billion credit cards in circulation today in the United States, 600 million are retail cards, 320 million are bank cards, 140 million are oil company cards, and 30 million are travel and entertainment cards. We have a card for everything.

"What's
in your
wallet?"

In 1980, credit card debt was \$50 billion. At the end of 2000, unsecured credit card debt was \$654 billion. Welcome to the new millennium. Three out of five households now have an average credit card balance of more than \$11,000. If Average Annie carries that average balance of \$11,000, and if she only makes the monthly minimum payment, with an interest rate of 24%, it would take Average Annie twenty-two years to pay off that \$11,000. Twenty-two years. Why? There is over \$47,000 in interest piling up on that \$11,000 balance. Average Annie does not want to spend the next twenty-two years of her life paying off an \$11,000 credit card balance, along with four times that much in interest fees. Average Annie is ready for *Debt Cures*.

Americans Are Not Saving

Most Americans are not able to save nearly enough for their retirement. No surprise as to why, or to where, their money is going. If they are like Average Annie, they are chipping away at a credit card debt that continues to grow and grow and grow, without them even making any more credit card purchases. It is an incredibly unfair system. Saving for the future, for retirement, for an emergency fund, can seem like an impossible dream when faced with the daily nightmare of mushrooming credit card balances.

In an April 2007 Market Watch article posted on Yahoo Finance, it is stated that the Commerce Department released its personal saving figures for 2006, and drum roll please, Americans are not saving. The